

A wake-up call indeed!

India proudly holds the position of being the second-largest smartphone market in the world, and the future prospects look promising. However, a cause for concern arises when we notice the absence of any Indian smartphone manufacturer in the prestigious Top 10 smartphone brands list in the country. Moreover, from the looks of it, the next 2 years show no sight of any Indian brand making it to the Top 10. This raises a pertinent question – why are we unable to see our own brands shine in our flourishing market?

Comparing our situation with other markets adds to the perplexity. China, the leading smartphone market globally, boasts nearly 70 per cent market share owned by local Chinese brands. Similarly, in the US, a significant 50 per cent market share is held by a local American company – Apple. In contrast, despite our close proximity to China's smartphone sales volumes, India's market is dominated by international brands, with a staggering ratio of 99 per cent to 1% when it comes to smartphone market share. A mere 1 per cent is held by local Indian brands, a far cry from the 40 per cent they once commanded in 2013/14, with players like Micromax, Lava, and Karbonn in the game.

Lava stands as a lone runner in the race, an all-Indian brand striving to make its mark in the smartphone space. Reports suggest that Lava, Micromax, and Karbonn are gearing up to target the sub-10K smartphone segment, an area experiencing a withdrawal from once-dominant Chinese brands. While challenges like rising BOM (Bill Of Materials) costs for 5G smartphones remain, this disruption might just be the spark that Indian brands need to reclaim their place and compete.

Last month, we witnessed the launch of the JioPhone, labeled as “India ka smartphone.” Although it operates within the Jio ecosystem, one must question if it truly embodies the idea of an “India ka smartphone.” Instead, why not aim for a proper smartphone that fills everyone with pride and can compete globally? Certainly, the JioPhone has its market and serves its specific purpose well. However, let's not forget about the growing demand from tier 2, tier 3,



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and even tier 4 users for smartphones that serve as their primary window to information, education, transactions, communication, and entertainment. In this regard, the JioPhone falls short; they seek a smartphone that provides access to global app ecosystems. Credit is due to Jio for their efforts in making technology affordable and accessible to all. However, this is only a fraction of the bigger picture. We're overlooking the potential of creating a smartphone that meets the needs and aspirations of the masses on a larger scale.

It does seem puzzling that despite most phones being “Made in India,” we don't find a single Indian name in the Top 10 smartphone brands list in our own country. It's a situation that demands attention. While it's commendable that we aspire to rival China as a manufacturing hub, that should not be the only goal. We must strive to build local brands that not only compete on a national level but also on the international stage. We possess a vast user base, an effective feedback mechanism to understand customer preferences, robust smartphone manufacturing capabilities, and an enormous domestic smartphone market to cater to, which doesn't require heavy reliance on exports. The pieces of the puzzle are there; it's time to put them together and build Indian smartphone brands that can stand up to global competition.

Talking about global competition, the recently concluded Semicon 2023 conference in Gandhinagar highlighted India's ambition to foster a robust domestic ecosystem and achieve self-sufficiency, particularly in the semiconductor space. There's no doubt that semiconductor is the new oil, and countries with a stronghold in design and manufacturing will enjoy a vast advantage. Let's hope we maintain our momentum and not take our foot off the pedal on this one. We are far away from the pace needed to really make a mark in the semiconductor space. Time is running out.

So, what are your thoughts on the absence of an Indian brand in the Top 10 list of smartphone brands in India? Am I venting without a cause? Write to me at soham@digit.in. I'd love to hear a contrarian opinion. **d**